IHS Lectures: Economics

Lecture 3:

Beyond one Economics - Schools of thought

Angarika Rakshit, HSRC

Why Multiple Schools Matter

Theory Limitations

All theories involve abstraction and cannot capture every aspect of reality. Each emphasizes different elements.

Human Free Will

Unlike natural sciences, economics studies beings with imagination who actively change their conditions.

Value Judgements

Behind technical concepts lie judgements about the good life, minority views, and morally acceptable ways to achieve progress.

CLASSICAL SCHOOL

The Classical Foundation

Emerged in late 18th century, dominated until late 19th century. Founded by Adam Smith (1723-90), developed by Ricardo, Say, and Malthus.

Engaged with Questions of what is **value** and how is it determined?

Takes a cost based approach to value. The **Labour Theory of Value** originates in the Classical School

Viewed economy as made up of three classes: **capitalists, workers, and landlords**.

CLASSICAL SCHOOL

The Invisible Hand

01

Self-Interest

Individual economic actors pursue their own interests

02

Market Competition

Competition forces producers to supply cheaper and better products

03

Social Benefit

Result: maximum national wealth at minimum costs

CLASSICAL SCHOOL

Say's Law, Free Trade and Malthusian Trap

Say's Law

Supply creates its own demand. Every economic activity generates incomes equivalent to output value.

Implication: No natural recessions due to demand shortfall.

CLASSICAL SCHOOL

Say's Law, Free Trade and Malthusian Trap

Say's Law

Supply creates its own demand. Every economic activity generates incomes equivalent to output value.

Implication: No natural recessions due to demand shortfall.

Comparative Advantage

Ricardo's theory showed that even when a country can't produce anything more cheaply, free trade allows both countries to maximize output through specialization.

CLASSICAL SCHOOL

Say's Law, Free Trade and Malthusian Trap

Say's Law

Supply creates its own demand. Every economic activity generates incomes equivalent to output value.

Implication: No natural recessions due to demand shortfall.

Comparative Advantage

Ricardo's theory showed that even when a country can't produce anything more cheaply, free trade allows both countries to maximize output through specialization.

Malthusian Trap

Population growth will outpace food supply, leading to resource scarcity, famine, disease, and war, ultimately causing a population crash back to subsistence levels, trapping societies in poverty.

CLASSICAL SCHOOL

Classical Legacy and Limits

Critical Flaws

Say's Law was wrong—couldn't handle recessions. Many "iron laws" proved false as technology advanced.

CLASSICAL SCHOOL

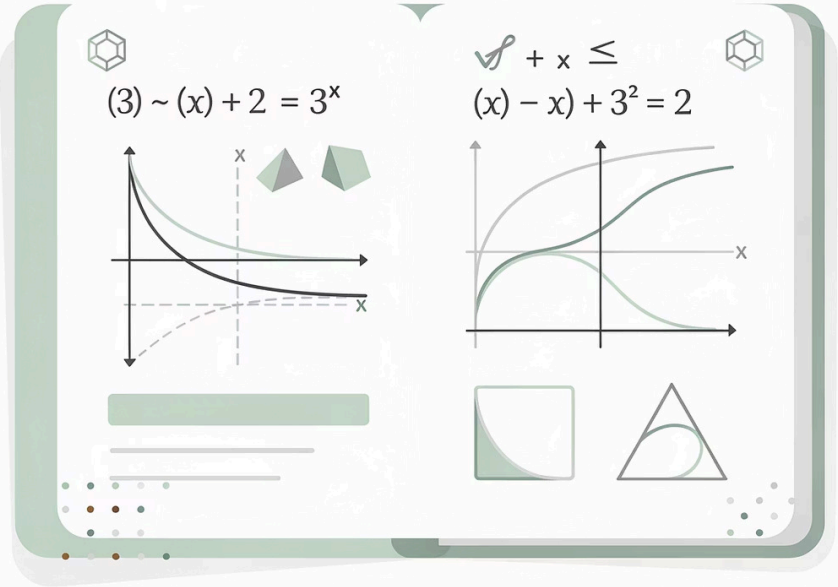
Classical Legacy and Limits

Critical Flaws

Say's Law was wrong—couldn't handle recessions. Many "iron laws" proved false as technology advanced.

Still Relevant

Class analysis shows how position in production affects behavior. Marketing companies still use class categories.



NEOCLASSICAL SCHOOL

The Rise of Neoclassical Economics

Arose in 1870s from Jevons and Walras, established by Alfred Marshall's *Principles of Economics* (1890). Changed discipline name from "political economy" to "economics" to signal pure science approach.

> Leave individuals alone—except when markets malfunction.

NEOCLASSICAL SCHOOL

Key Shifts from Classical

Demand Matters

Value determined by consumer valuation, not just production costs

Individual Focus

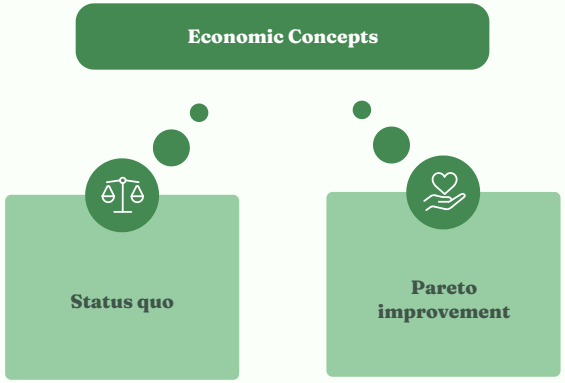
Economy as rational, selfish individuals —"pleasure machines"— not classes

Exchange Over Production

Focus shifted from production processes to consumption and exchange

NEOCLASSICAL SCHOOL

The Pareto Criterion



A social change is an improvement only when it makes some better off without making anyone worse off.

Conservative Bias

Few real changes hurt no one, so Pareto criterion effectively becomes a recipe to maintain status quo.

Imparted huge conservative bias to Neoclassical school despite its scientific aspirations.

NEOCLASSICAL SCHOOL

The Market Failure Approach

Externalities

Pigou (1920s): Market prices fail to reflect true social costs. Pollution creates negative externality; R&D creates positive externality.

Compensation Principle

1930s: Change acceptable if total gains can compensate all losers. Avoided ultra-conservative Pareto bias.

Information Economics

1980s: Stiglitz, Akerlof, Spence showed asymmetric information makes markets malfunction or cease to exist.

NEOCLASSICAL SCHOOL

Neoclassical Strengths and Limits

Unique Strengths

- High precision and logical clarity from individual-level analysis
- Remarkable versatility—can justify diverse policies
- Both "left-wing" (Stiglitz, Krugman) and "right-wing" (Buchanan, Becker) versions exist

NEOCLASSICAL SCHOOL

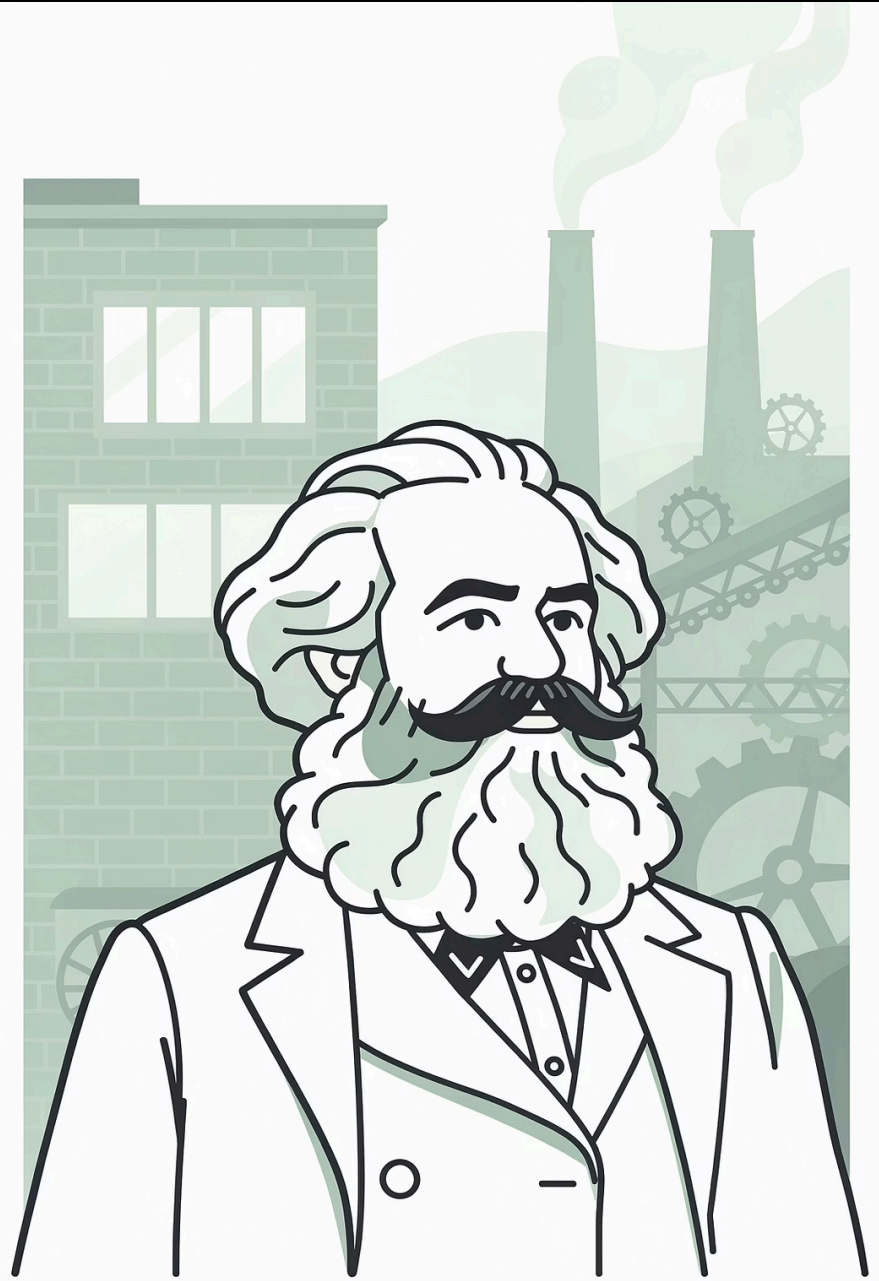
Neoclassical Strengths and Limits

Unique Strengths

- High precision and logical clarity from individual-level analysis
- Remarkable versatility—can justify diverse policies
- Both "left-wing" (Stiglitz, Krugman) and "right-wing" (Buchanan, Becker) versions exist

Critical Weaknesses

- Unrealistic assumptions about selfishness and rationality
- Too accepting of status quo and existing power structures
- Neglects production sphere—focuses on exchange and consumption



The Marxist School

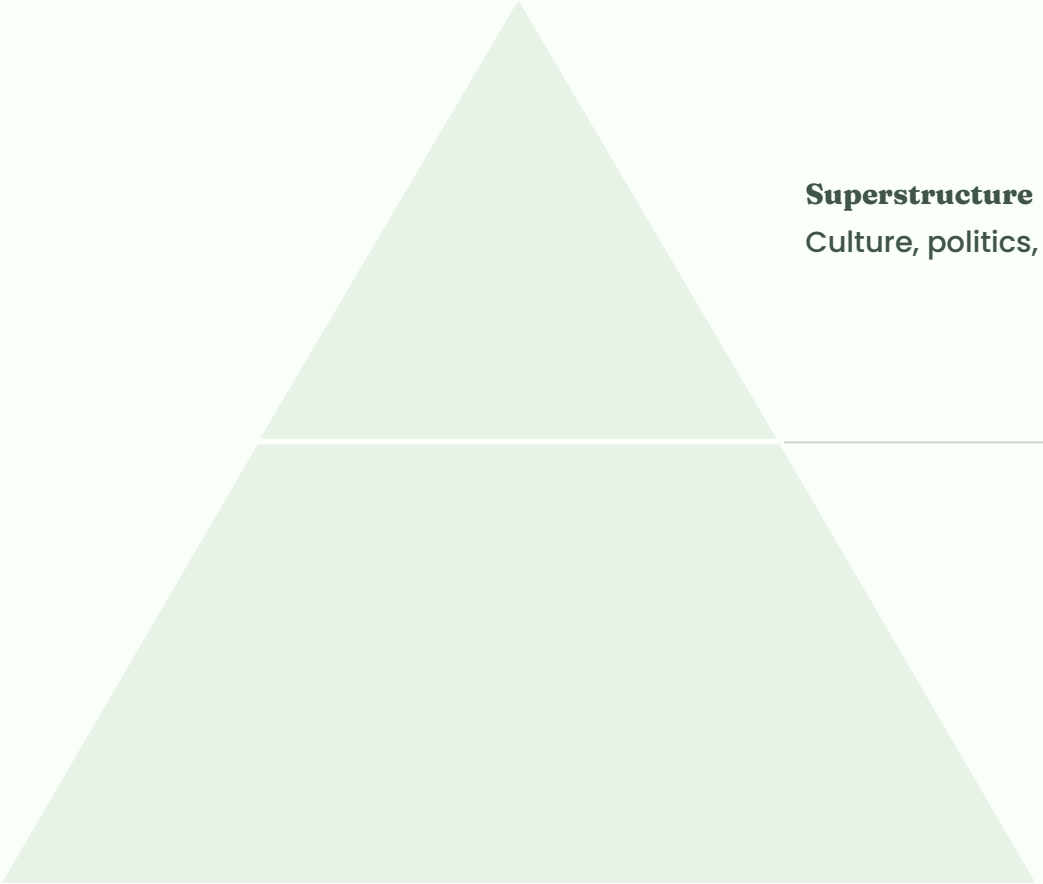
1840s–1860s Origins

> "The history of hitherto existing society is the history of class struggles."

Emerged from Karl Marx's works, starting with *The Communist Manifesto* (1848) and culminating in *Capital* (1867). Another (perhaps *truer)* heir of Classical school doctrine.

MARXIST SCHOOL

Marxist Core Concepts



Superstructure
Culture, politics, human life

Economic Base
Mode of production—foundation of social order

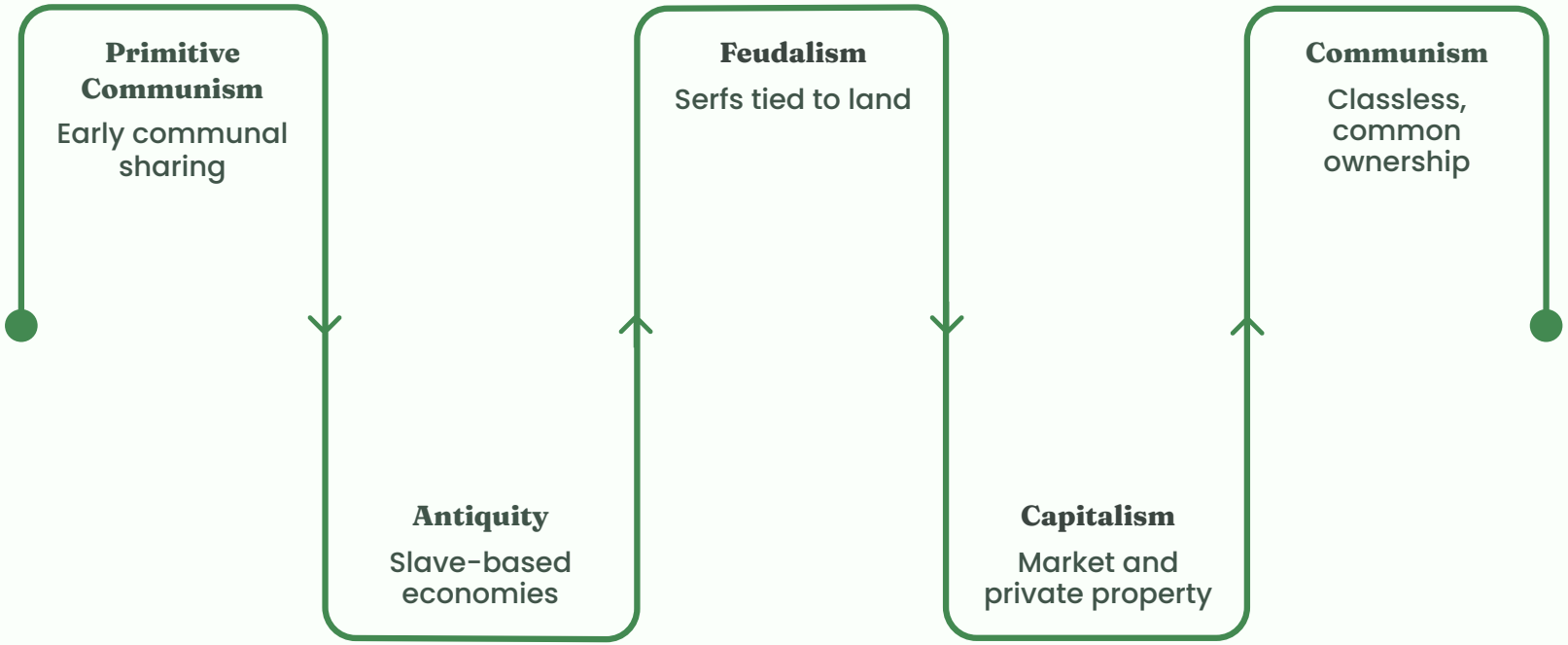
Relations of Production
(Property Rights, Employment, Division of Labour

Forces of Production
(Technologies, machines, human skills)

Production is the basis of social order. Every society built on economic base, which shapes the superstructure above it.

MARXIST SCHOOL

Historical Stages of Development



Marx developed Adam Smith's stages theory, viewing capitalism as one stage before reaching communism. This recognizes the historical nature of economic problems—a stark contrast to Neoclassical universalism.

MARXIST SCHOOL

Class Conflict and Capitalism's Collapse

Workers as Active Agents

Not passive victims but the "grave digger of capitalism"—organizational skills forged in factory hierarchy.

Revolution comes when technological requirements contradict institutional setup, creating systemic contradictions.

The Contradiction

Division of labour becomes increasingly social, requiring coordination among firms. But private ownership makes coordination difficult or impossible.

Result: system collapse, replaced by socialism with central planning and collective ownership.

MARXIST SCHOOL

Marxist Insights on Capitalism

The Firm vs. Market

First to recognize firms as "islands of rational planning in an anarchic sea of the market"—hierarchical order versus spontaneous order.

Work as Expression

Unlike other economists, Marx saw work as allowing human creativity, not just disutility for earning money.

Technology Central

First major economist to truly understand technological innovation's importance in capitalist development.

MARXIST SCHOOL

Lasting Value despite Flaws

Prediction Failures

- Capitalism hasn't collapsed under its own weight
- Socialism emerged in underdeveloped countries (Russia, China), not advanced ones

Despite limitations, Marxist analysis of firms, work, and technology remains valuable for understanding capitalism today.

DEVELOPMENTALIST TRADITION

The Oldest Economic Tradition

Started late 16th-early 17th centuries—two centuries before Classical school. Not a "school" but a pragmatic tradition focused on helping backward countries catch up.

> Backward economies can't develop if they leave things entirely to the market.

DEVELOPMENTALIST TRADITION

From Mercantilism to Modern Development

1500s-1700s: Mercantilism

Italian economists Botero and Serra emphasized government promotion of manufacturing. Focus on productive capabilities, not just trade surplus.

Late 1700s: Infant Industry

Hamilton invented infant industry argument—protect nascent industries until competitive. Developed by Friedrich List.

Mid-1800s: German Historical School

Emphasized understanding how production systems change, influenced by and influencing institutions.

1950s-60s: Development Economics

Hirschman, Kuznets, Lewis, Myrdal refined theories. Added linkages concept—promote industries with dense connections to others.

KEYNESIAN SCHOOL

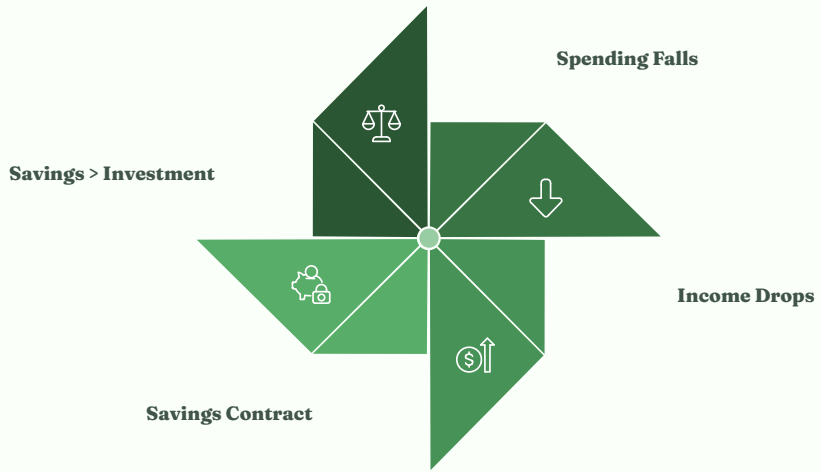
Keynes Redefines Economics

John Maynard Keynes (1883-1946) invented **macroeconomics**—analyzing the whole economy as different from sum of its parts. Arguably the most important economist of the 20th century.

> What is good for individuals may not be good for the whole economy.

KEYNESIAN SCHOOL

Why Unemployment Persists



The Keynesian Explanation

Savings must equal investment for full employment. But investment depends on uncertain future expectations driven by psychology, not rational calculation.

When investors become pessimistic, investment falls. This reduces spending and income, which then reduces savings to match lower investment—without stimulating new investment.

KEYNESIAN SCHOOL

An Active Government

Fiscal Policy Solution

In the normal state of affairs, and especially during recessions, investment is insufficient for full employment.

Government must actively spend to prop up demand and achieve full employment.